

CAPITAL MARKETS AND COMPETITOR ANALYSIS

APPROVED DEFINITIONS AND CONTROL FRAMEWORK

Alder Ridge Mechanical | Effective for the 2026-06-30 close and FY27 planning cycle

Authority and version control

Use executed agreements and signed policies for definitions, controller-reviewed workpapers for current management assumptions, raw exports for their stated cutoff, and Vista ERP for posted Alder Ridge populations. Earlier workbooks and banker cases are retained for audit history only.

Required control principles

Keep posted, pro-forma, forecast, external-market, and transaction-target measures separately labeled. Preserve units and periods. Reconcile bridges and roll-forwards without plugs. Management preference does not override approval status, contractual definitions, or stated risk limits.

Corporate weighted-average cost of capital

Exclude the documented outlier, unlever each included peer with its own debt-to-equity and tax rate, then take the median.

Relever the median to Alder Ridge's target capital structure; cost of equity includes risk-free, beta times ERP, and size premium.

Weight after-tax debt and equity costs using the target debt weight, then add the project risk premium only to the project hurdle.

Public-company trading-comparables valuation

Exclude the documented non-comparable outlier before calculating either median.

Apply the median multiples to the target's corresponding LTM metrics, then weight the two enterprise values 70%/30%.

Subtract target net debt only after the weighted enterprise-value conclusion.

Competitor operating benchmark

Calculate simple medians across all six approved peers for each operating KPI.

Percentile equals the share of peers at or below Alder Ridge's result; do not interpolate between observations.

EBITDA improvement applies the positive margin gap to posted LTM Alder Ridge revenue.

Commercial service market sizing

TAM equals sites times annual spend; SAM then applies both outsourced penetration and geographic/capability serviceability by segment.

Year 3 obtainable market applies each segment's own obtainable share; do not use a blended share before segment calculation. Report `three\_year\_obtainable\_market` as the resulting dollar market amount, not as a share percentage; `year\_three\_revenue` is the same dollar amount under this capture case.

Technician requirement rounds up Year 3 revenue divided by productive revenue capacity; rank sensitivities by absolute revenue swing.

Peer valuation multiple bridge

Observed discount equals peer median less the current Alder Ridge multiple.

Supported multiple starts from the peer median and applies each signed bridge adjustment exactly once; it is not the observed multiple plus adjustments.

Apply the supported multiple to posted adjusted EBITDA, then subtract net debt and divide by diluted shares.

System reconciliation schedule

Analysis	Accounting-system reconciliation
Corporate weighted-average cost of capital	No Alder Ridge ledger tie required
Public-company trading-comparables valuation	No Alder Ridge ledger tie required
Competitor operating benchmark	Vista ERP P&L, 2025-07-01 through 2026-06-30; Revenue total
Commercial service market sizing	No Alder Ridge ledger tie required
Peer valuation multiple bridge	Vista ERP P&L plus general-ledger account 6700; Revenue less Cost of Revenue and Operating Expense plus Depreciation